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Business The economy Supermarkets

OPINION

It's official – supermarkets are overcharging. Quick, change the subject



Ross Gittins
Economics Editor

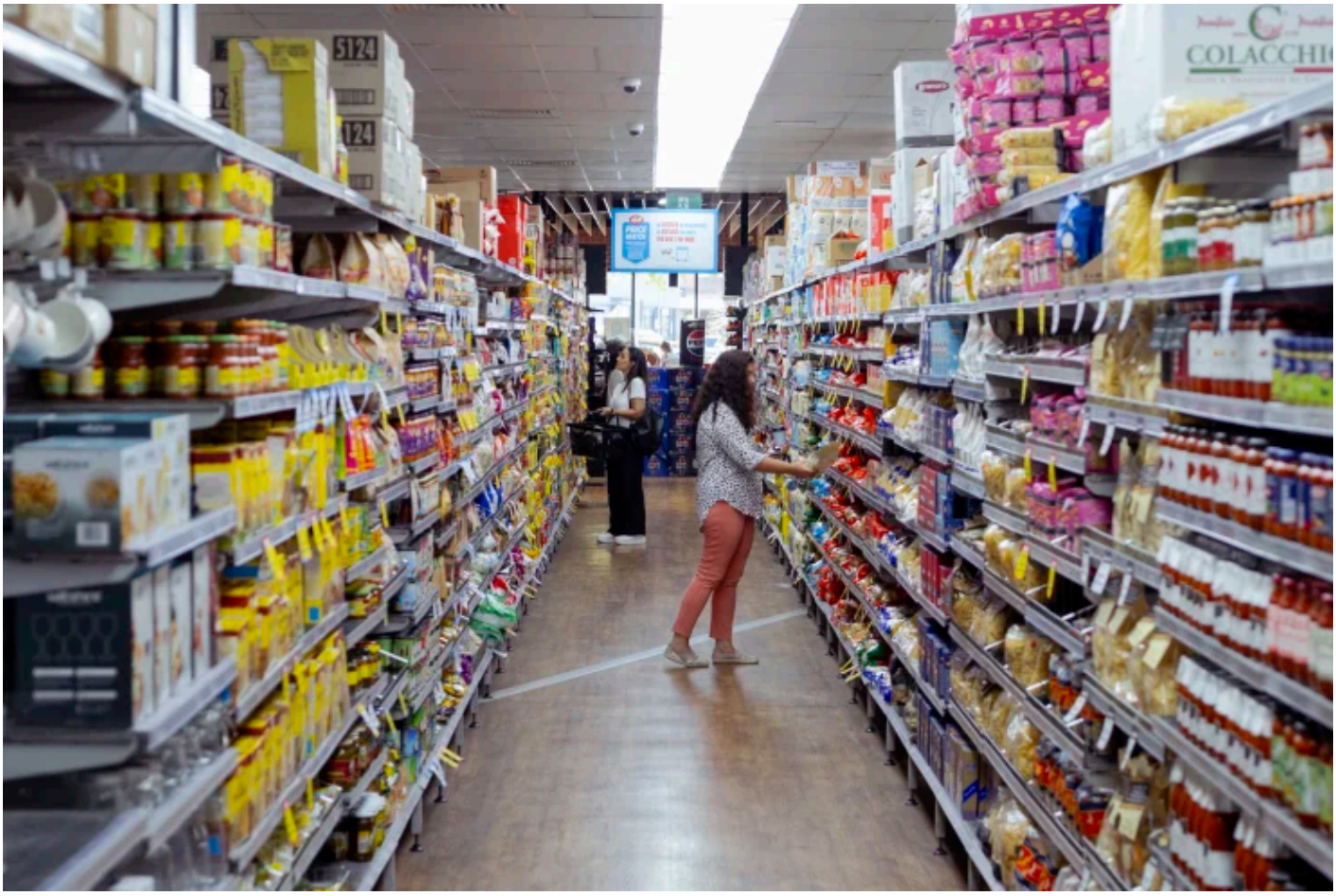
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Why does a government release a highly critical report on the conduct of Woolworths and Coles on the Friday before a budget that will lead straight into an election campaign? Short answer: not for any worthy reason.

One worthy reason could have been to show Anthony Albanese and Treasurer Jim Chalmers really wanted to do something about fixing the cost of living, by making the question of what we should do about our overcharging grocery oligopoly a major issue for discussion in the campaign.

Since the remedies proposed by the Australian Competition and Consumer Commission in its report seem so inadequate, should the two grocery giants be broken up? As, indeed, Opposition Leader Peter Dutton says he would do if elected.



The competition regulator says grocery prices in Australia have soared over the past five financial years. DOMINIC LORRIMER

As the business press so indelicately put it, the competition watchdog's mild-mannered recommendations despite all its evidence of what the punters see as "price gouging" meant the supermarket giants had "dodged a bullet". But should they have? Let's discuss it.

Sorry, I've been observing the behaviour of politicians for too long to believe Labor's motives for releasing the report at such a time could possibly be so pure. It's more likely the reverse: Labor wants to close the issue down.

What Labor did last week looks suspiciously like what's known in the trade as "taking out the trash". When you've got an embarrassing report you hope won't get much notice from the media, you release it on a Friday, when the media's busy packing up for the weekend. The reporters ought to return to the topic on Monday, but they don't because of their obsession with newness. Spin doctors 1; press gallery 0.

Or governments can achieve the same result by releasing an embarrassing report at a time when everyone's attention is turned to a much bigger issue – say, a budget, or an election campaign.

But why didn't Labor just keep the report to itself until after the election? Because, I suspect, it wanted to show it had been on the job, investigating complaints about supermarket overcharging.

And it probably wanted to arm itself to reply to Dutton's promise to break up the two giants. "We had the competition watchdog investigate the matter, and it explicitly declined to recommend divestment. But it did make 20 recommendations, and we've accepted them all."

(The last time I heard that one was before the 2019 federal election, when the Morrison government released the report of the royal commission into misconduct in banking and said it had accepted all its recommendations. After the election it dropped many of them.)

But if even Labor isn't game to touch the thought of breaking up Coles and Woolies, why are the Liberals promising to do it? Because they wouldn't really.

Why does the notion of divestment frighten Labor? Because it doesn't want to get offside with business. However, in the case of the two supermarket giants, their interests are defended inside Labor's corridors of power by their union, "the shoppies", aka the Shop, Distributive and Allied Employees Association.

Trouble is, the report's findings show there's a lot to try sweeping under the carpet. The two chains account for two-thirds of all supermarket sales, and their market share has increased since 2008 despite the advent of Aldi. Their profitability is among the highest in the world and their profit margins have increased over the past five financial years.

"Grocery prices in Australia have been increasing rapidly over the last five financial years," the report says. "Most of the increases are attributable to increases in the cost of doing business across the economy, including particularly production costs for suppliers, which has increased supermarkets' input costs.

"However, Aldi, Coles and Woolworths have increased their product [margins] and earnings-before-interest-and-tax margins during this time, meaning that at least some of the grocery price increases have resulted in additional profits."

So if the Libs don't seize on the report's findings to step up their claim to want to do something real and lasting about the cost of living, it will be a sign they're not genuine in their professed desire to break up the grocery oligopoly. A sign both sides of politics want the report and its disturbing findings buried ASAP.

But it's not just the political duopoly that doesn't want to know about the pricing power of the grocery market's big two. Most of the nation's economics profession don't want to think about it either. Why not? Because it's empirical evidence that laughs at their conventional model – whether mental or mathematical – of how the economy works.

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Reserve Bank, have said not a word.

There's a host of contradictions in their model, and the profession long ago decided that the easiest way to leave its beliefs unchallenged and unchanged was to avoid thinking about them. (And for all those economists snorting with derision as they read yet more of Gittins' nonsense, I have five words: "theory of the second best". Those words strike terror into the heart of every conventional economist.)

Economists divide their discipline into micro (the study of how individual markets work) and macro (study of how the whole market economy works), but they've given up trying to make the two approaches fit together. This groceries report is a classic example of how the two lines of thinking don't fit.

Every macroeconomist studying "imperfect competition" (aka "industrial organisation") knows oligopoly brings market power and allows firms to avoid competition on price. But every macroeconomist assumes – explicitly or implicitly – that market power isn't a relevant problem.

As we saw with the conventional wisdom on the *domestic* causes of the recent inflation surge, the Reserve Bank assumed it was caused by excessive monetary and budgetary stimulus. That is, it was caused by "demand-pull" not "cost-push" inflation pressure.

The fact that, through our own neglect, we have one of the most oligopolised economies in the developed world, is assumed away. We've allowed our economy to become inflation-prone, while economists in general, and the supposedly inflation-obsessed Reserve Bank, have said not a word.

But not to worry. We'll compensate for our negligence by punishing people with home loans all the harder.

Ross Gittins is the economics editor.

Ross Gittins unpacks the economy in an exclusive subscriber-only newsletter. Sign up to receive it every Tuesday evening.

Ross Gittins is the Economics Editor of The Sydney Morning Herald. Connect via Twitter, Facebook or email.